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Greater China Industrials

Sep automation: industrial activity diverged; robot growth moderated

Industry Overview

Industrial activity showed divergent trends in September

According to NBS, China's industrial value-added grew 5.5% YoY in September (vs. +5.2% YoY in August). By category, value-added growth of the manufacturing reached +6.0% YoY in September (vs. +6.1% YoY in August). The value-added from the utilities sector grew 5.6% YoY in September (vs. +4.9% YoY in August). The value-added growth of the mining sector grew by 1.3% YoY in September (vs. -1.4% YoY in August). On the other hand, manufacturing FAI declined 0.9% YoY in September (vs. -6.1% YoY in August). In August, profits of China's industrial enterprises grew 4.2% YoY (vs. +11.2% YoY in July). Inventory turnover days came in at 21.3, as of end-August 2026 (vs. 21.3 days in July), up 0.6 day YoY.

Industrial robot production moderated in September

In September, production volume of industrial robots rose 19% YoY to 97k units (vs. +35% YoY in August). Value-added of the 3C sector also grew 16% YoY in September (vs. +17% YoY in August). On the other hand, passenger vehicle production volume was -5.7% YoY (vs. -2.7% YoY in August). Solar cell production volume declined 5% YoY in September (vs. -13% YoY in August). According to China Customs, machine tool imports volume grew 8% YoY in September (vs. +13% YoY in August), while China's machine tool orders from Japan grew 62% YoY in August (vs. +52% YoY in July).

Special/general/electrical equipment's value-added growth

Value-added growth of special equipment/general equipment/electrical equipment came in at 12.1%/8.5%/8.1% YoY in September (vs. +11.4%/+9.8%/+9.9% YoY in August). In September, metal cutting machine tool production grew 12.5% YoY (vs. +14.1% YoY in August).

FA growth moderated; battery order growth began to slow

Our recent FA channel checks reveal that order growth of most FA companies slowed on high base in September (see report: FA channel check: Sep order growth slowed on high base; machine tool solid). Demand from 3C, AI and machine tools remained strong in September, while battery order growth began to slow. We expect continued mild recovery in China's overall automation market in 2026, with FA likely outperforming PA. We expect China's automation market to grow 1.0% YoY in 2026, vs. a 0.8% YoY growth in 2025. We forecast China's FA market will grow 7.2% YoY in 2026, supported by the continued solid demand from semiconductor and electronics, but project China's PA market to decline 2.6% YoY in 2026, dragged by weak demand from chemicals/petrochemical (see report: Greater China Industrials: 2Q26 MIR automation data: FA remains strong; PA weak; raise robot sales).

19 October 2026

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Industrials

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Abbreviations

3C: Computer, Communication, and other Consumer Electronics

FA: factory automation

FAI: Fixed asset investment

IR: Industrial robot

k: thousand

NBS: National Bureau of Statistic

OEM: original equipment manufacturer

PA: process automation

PMI: purchasing managers index

Sep: September

LV: low voltage

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Refer to important disclosures on page 7 to 8. **13029951**

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Focus charts

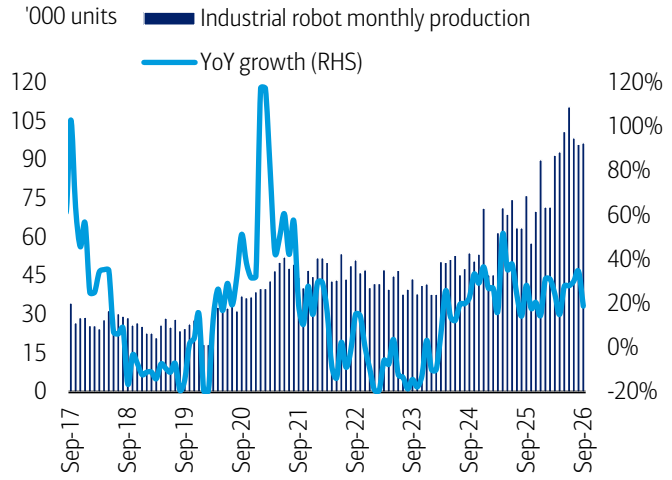
Exhibit 1: China automation indicator
Industrial value-added increased 5.5% YoY in September (vs. +5.2% YoY in August)

		Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26
Macro															
China manufacturing PMI		49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3	50.0	50.3	49.2	49.8	50.1
China manufacturing FAI growth (YTD)	%	5.1	4.0	2.7	1.9	0.6	3.1	3.1	4.1	1.2	-0.4	-1.2	-1.7	-2.3	-2.1
Industrial value added growth	%	5.2	6.5	4.9	4.8	5.2	6.3	6.3	5.7	4.1	4.5	5.3	4.5	5.2	5.5
Industrial enterprise net profit growth (YTD)	%	0.9	3.2	1.9	0.1	0.6	15.2	15.2	15.5	18.2	18.8	18.7	17.6	15.7	-
Industry specific															
China PV (passenger vehicle) production	mn unit	2.8	3.2	3.3	3.5	3.4	2.0	2.0	3.1	2.6	2.6	2.8	2.5	2.7	3.1
YoY		11%	14%	11%	2%	-3%	-10%	-10%	0%	-3%	-3%	0%	0%	-3%	-6%
China mobile production	mn unit	125	150	143	142	147	111	111	125	109	106	115	99	102	110
YoY		-6%	-9%	-4%	-12%	-10%	8%	8%	-8%	0%	-8%	-14%	-17%	-18%	-27%
China IC (integrated circuit) production	bn unit	43	44	42	44	48	41	41	48	48	50	52	53	53	54
YoY		3%	6%	8%	16%	13%	12%	12%	21%	22%	23%	19%	21%	21%	18%
China IR (industrial robot) production	unit	63,747	76,287	57,858	70,188	90,116	71,804	71,804	91,954	93,246	101,150	110,702	98,677	96,174	96,752
YoY		14%	28%	18%	21%	15%	31%	31%	24%	15%	28%	28%	30%	35%	19%
China metal cutting machine tool production	unit	70,000	80,000	70,000	70,000	90,000	65,000	65,000	90,000	90,000	80,000	90,000	80,000	70,000	80,000
YoY		16%	18%	6%	-3%	-9%	4%	4%	5%	8%	11%	18%	4%	14%	13%
Japan machine tool export to China	JPY mn	29,324	34,283	31,791	38,128	37,125	43,298	37,456	51,353	53,333	51,246	56,489	48,626	47,423	-
YoY		3%	25%	10%	30%	2%	57%	40%	42%	57%	66%	76%	52%	62%	-

Source: NBS, BofA Global Research; Note: NBS only publish 2M26 accumulated sales volume for PV, mobile, IC, IR and cutting machine tool, as well as FAI growth, value added growth and industrial enterprise net profit growth, we assume the sales volume/growth rate of January and February are the same each year

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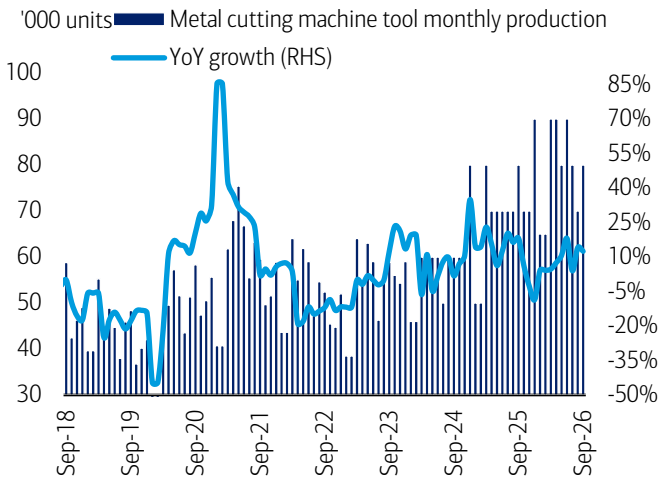
Exhibit 2: Industrial robot monthly production
IR production increased by 18.9% YoY in September (vs. +34.6% in August)



Source: NBS, BofA Global Research

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Exhibit 3: Metal cutting machine tool monthly production
Production volume increased by 12.5% YoY in September (vs. +14.1% YoY in August)

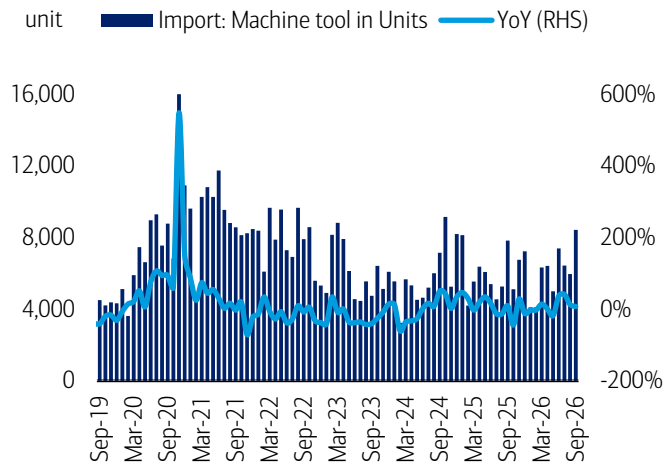


Source: NBS, BofA Global Research

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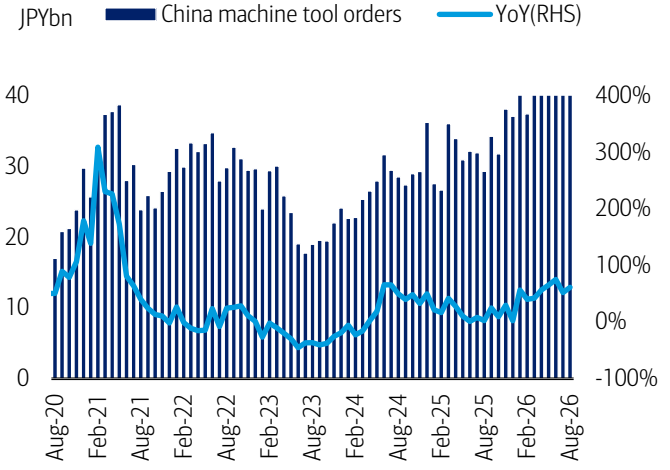
Exhibit 4: Monthly machine tool import (in units)
Import of machine tools grew 8% YoY in Sep (vs. +13% YoY in August)



Source: China Customs, BofA Global Research

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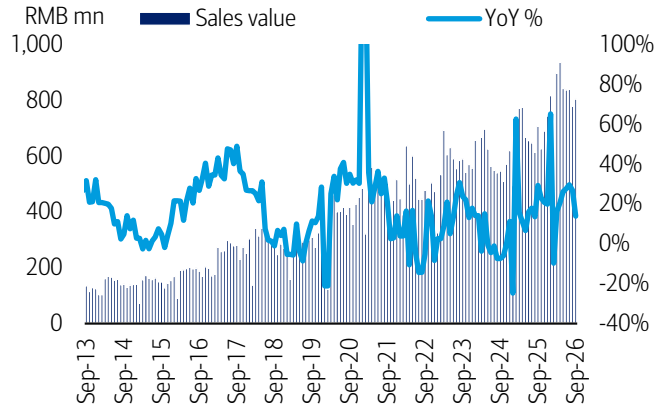
Exhibit 5: China machine tool import from Japan (in JPYbn)
Import from Japan grew by 62% YoY in August (vs. +52% YoY in July)



Source: JMTBA, BofA Global Research

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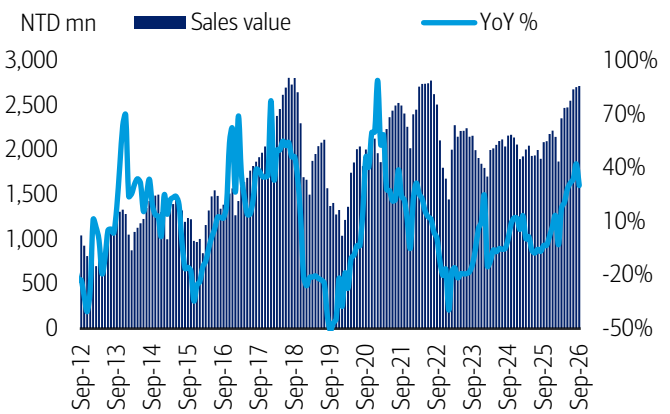
Exhibit 6: AirTAC monthly sales revenue and YoY growth
AirTAC's monthly sales grew 14% YoY in Sep (vs. +27% YoY in August)



Source: AirTAC, BofA Global Research

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Exhibit 7: Hiwin monthly sales revenue and YoY growth
Hiwin's sales up 30% YoY in Sep (vs.+42% YoY in August)

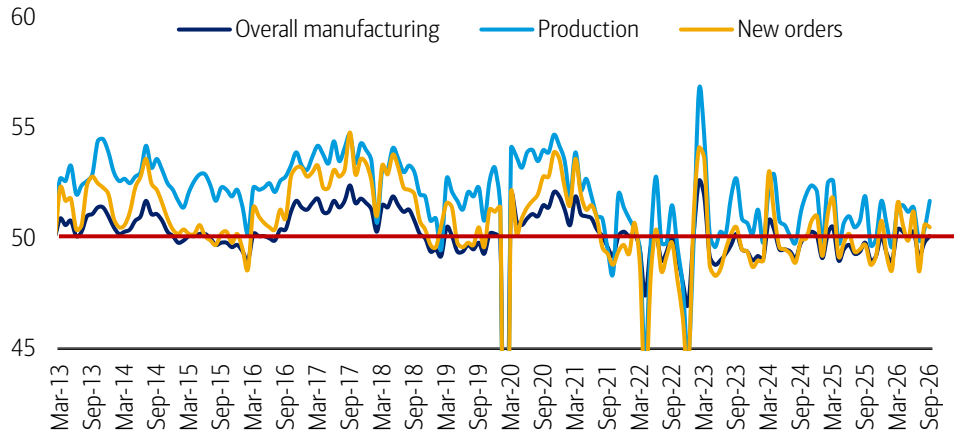


Source: Hiwin, BofA Global Research

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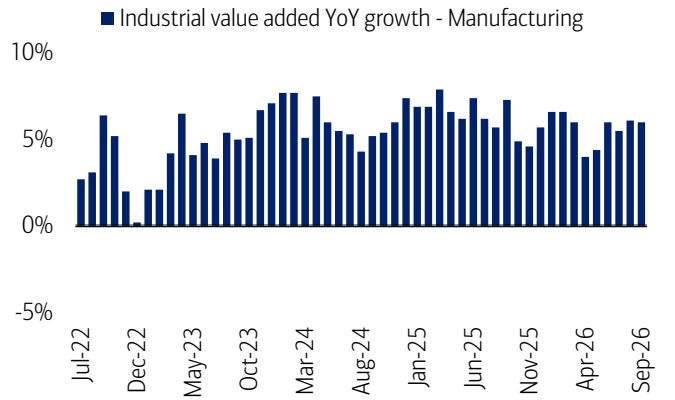
Exhibit 8: China manufacturing PMI
Manufacturing PMI edged up to 50.1 in Sep (from 49.8 in August)



Source: NBS, BofA Global Research

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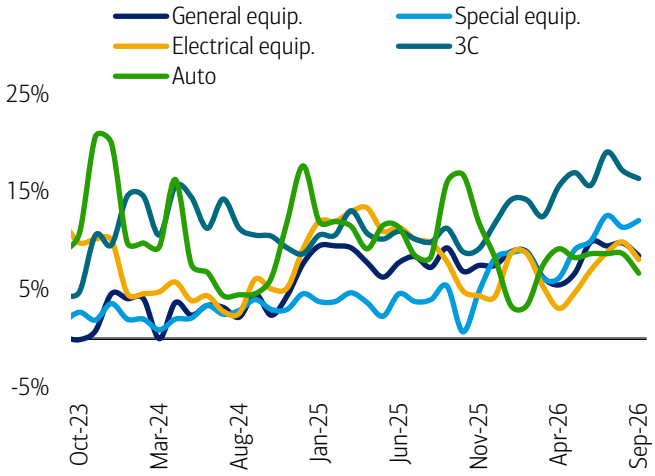
Exhibit 9: China manufacturing sector industrial value-added growth
Value-added growth for manufacturing sector was 6.0% YoY in Sep (vs. +6.1% YoY in August)



Source: NBS, BofA Global Research

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Exhibit 10: China manufacturing sector industrial value-added
Value-added growth of 3C was 16.4% in Sep (vs. +17.2% in August)



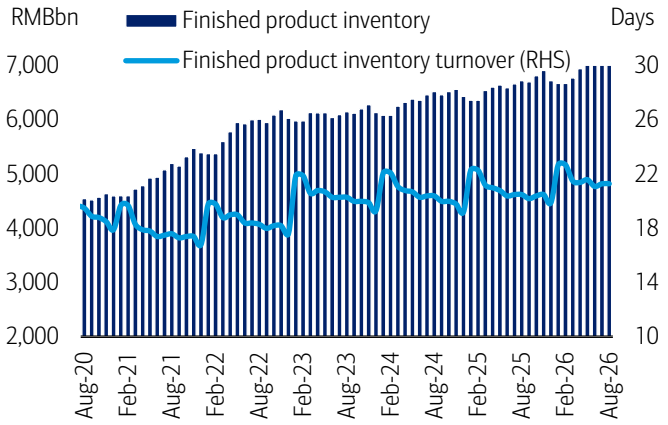
Source: NBS, BofA Global Research

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Exhibit 11: China industrial enterprise finished product inventory turnover

Inventory turnover days at 21.3, as of end-August 2026 (vs. 21.3 in July)

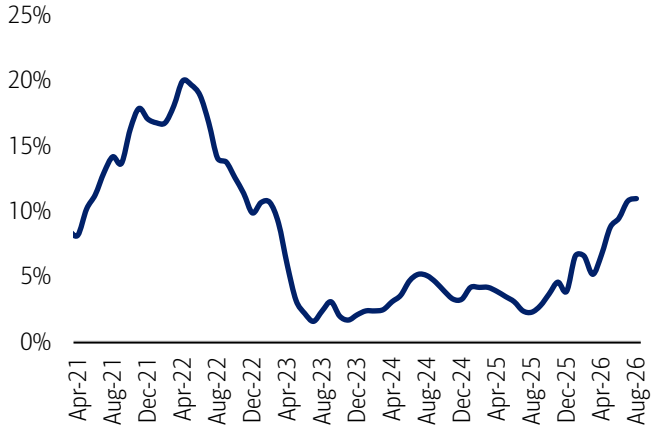


Source: NBS, BofA Global Research

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Exhibit 12: China industrial enterprise finished product inventory YoY growth

Inventory up 11.0% YoY, as of end-August 2026 (vs. +10.8% YoY in July)



Source: NBS, BofA Global Research

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Exhibit 13: China automation market sales by product

2Q26 industrial robot shipment growth came in at 17% YoY

By product		1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
AC Servo	RMB mn	5,242	5,248	4,957	5,103	5,480	5,782	5,457	5,602	6,400	7,204
PLC	RMB mn	3,972	3,859	4,040	3,924	4,129	4,112	4,482	4,269	4,628	4,693
Large-Medium PLC	RMB mn	2,585	2,441	2,527	2,561	2,686	2,600	2,803	2,785	2,977	2,961
Small PLC	RMB mn	1,387	1,418	1,513	1,363	1,443	1,512	1,679	1,484	1,651	1,732
LV Inverter	RMB mn	7,297	7,033	7,432	6,517	7,370	7,244	7,395	6,638	7,665	7,715
HMI	RMB mn	1,118	1,329	1,137	1,085	1,159	1,365	1,198	1,143	1,257	1,510
CNC	RMB mn	3,573	3,436	3,211	3,749	3,680	4,005	3,650	4,215	4,490	5,016
Contactor	RMB mn	2,251	3,583	3,044	3,107	2,289	3,324	3,124	3,246	2,450	3,466
Sensor	RMB mn	2,717	2,764	2,628	2,598	2,619	2,840	2,754	2,697	2,848	3,109
Industrial robot	Unit	69,075	71,898	75,171	78,034	76,781	86,090	80,124	91,067	87,806	100,806
Small 6-axis articulated robot	Unit	23,204	22,872	23,502	23,368	24,190	27,025	24,650	25,525	27,370	31,167
Large 6-axis articulated robot	Unit	22,325	20,447	24,537	27,157	25,107	24,725	25,987	29,948	25,882	27,470
SCARA	Unit	16,290	19,545	18,220	16,587	18,120	21,495	18,605	22,160	22,360	24,205
Delta	Unit	1,412	1,534	1,542	1,481	1,429	1,595	1,637	1,744	1,544	1,644
COBOT	Unit	5,844	7,500	7,370	9,441	7,935	11,250	9,245	11,690	10,650	16,320
YoY											
AC Servo		-5%	-6%	-4%	1%	5%	10%	10%	10%	17%	25%
PLC		-16%	-20%	-27%	-15%	4%	7%	11%	9%	12%	14%
Large-Medium PLC		-22%	-29%	-28%	-23%	4%	7%	11%	9%	11%	14%
Small PLC		0%	2%	-24%	4%	4%	7%	11%	9%	14%	15%
LV Inverter		-6%	-10%	-8%	-5%	1%	3%	0%	2%	4%	7%
HMI		-1%	2%	-8%	-2%	4%	3%	5%	5%	8%	11%
CNC		-5%	9%	13%	43%	3%	17%	14%	12%	22%	25%
Contactor		-2%	-2%	-3%	-5%	2%	-7%	3%	4%	7%	4%
Sensor		-16%	-15%	-10%	-9%	-4%	3%	5%	4%	9%	9%
Industrial robot		5%	5%	3%	2%	11%	20%	7%	17%	14%	17%
Small 6-axis articulated robot		9%	-1%	-3%	-9%	4%	18%	5%	9%	13%	15%
Large 6-axis articulated robot		3%	-1%	-2%	1%	12%	21%	6%	10%	3%	11%
SCARA		-2%	10%	13%	12%	11%	10%	2%	34%	23%	13%
Delta		-2%	10%	8%	1%	1%	4%	6%	18%	8%	3%
COBOT		21%	44%	25%	25%	36%	50%	25%	24%	34%	45%

Source: *Sensor includes Photoelectric Switch, Displacement Sensor, Safety Sensor, RFID, Proximity Switch, MIR Databank, BofA Global Research

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Exhibit 14: Abbreviations Exhibit
Abbreviations used in the report

Abbreviation	Full name	Abbreviation	Full name
3C	Computer, communication, and consumer electronics	ICEV	Internal combustion engine vehicle
AC	Alternating current	IFR	International Federation of Robotics
AI	Artificial Intelligence	JV	Joint venture
ASP	Average selling price	NPM	Net profit margin
AOI	Automated optical inspection	OEM	Original equipment manufacturer
BOM	Bill of materials	OMC	Operation Management & Control System
Capex	Capital expenditure	OPEX	Operating expenses
CNC	Computer Numerical Control	PA	Process Automation
COBOT	Collaborative robot	PERC	Passivated Emitter and Rear Contact
DCS	Distributed Control System	PLC	Programmable Logic Controller
EMS	Electronics manufacturing services	PMI	Purchasing Managers' Index
EV	Electric vehicle	PV	Passenger vehicle
FA	Factory automation	R&D	Research and development
GPM	Gross profit margin	SCARA	Selective Compliance Assembly Robot Arm
HJT	Heterojunction technology	SKU	Stock keeping unit
HMI	Human-Machine Interface	SOEs	State-owned enterprises
HVAC	Heating, Ventilation, and Air Conditioning	TOPCon	Tunnel oxide passivated contact

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